Marital Insurance and Job Search: Evidence from Property Regime Reform

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Individuals who marry gain the benefits of being in a two-person household—specialization within the household, dual contributions to public goods, and insurance in the face of future uncertainty. A central insight of the household search literature is that these benefits lead married couples to behave differently from singles in the labor market. Guler et al. (2012) develop a framework in which married households face joint location and employment decisions that generate both new opportunities and new frictions. In their model, reservation wages for employed-searcher couples can exceed those of singles because the spouse's income provides a form of insurance. Building on this foundation, Mankart and Oikonomou (2017) show that household members adjust their labor supply to insure against unemployment risks, Pilossoph and Wee (2021) demonstrate that income pooling raises reservation wages and accelerates job ladder climbing, and Fernández-Blanco (2022) establishes that spousal income simultaneously provides consumption insurance while increasing labor market risk-taking.

While this literature has established that insurance within marriage drives differences in job search behavior between singles and couples, it treats the strength of marital insurance as fixed. In practice, however, the extent of insurance within marriage varies considerably across couples depending on the legal and institutional design of the marital contract. Matrimonial property regimes are an important component of the marital contract. It determines how assets are owned during marriage and divided upon divorce. Two broad regimes exist: separation of property, under which each spouse retains ownership of their own assets, and community property, where assets acquired during marriage are jointly owned and divided equally. Within the latter, *universal* community property extends joint ownership to all premarital assets and inheritances, whereas *limited* community property includes only assets acquired after marriage. These rules govern how much risk is truly pooled inside the household and, importantly, what happens in the event of divorce.

This paper tests whether the insurance provided by marriage shapes couples' job search behavior. Specifically, we ask whether weakening marital insurance, through a weaker property regime or more individualized asset ownership, lowers reservation wages and reduces labor market risk-taking within couples. We build on the framework of Guler et al. (2012), in which spouses make joint search decisions and spousal income provides insurance, but depart from

their approach by allowing the strength of that insurance to vary. Rather than comparing singles to couples, we compare couples facing different degrees of asset pooling and divorce protection. When the marriage contract weakens, because fewer assets are jointly owned or because divorce reallocates wealth differently, effective intra-household insurance declines. Even while married, the anticipation of divorce affects savings, labor supply, and job search decisions, bringing behavior closer to that of singles.

We exploit the 2018 Dutch reform that changed the default property regime from universal to limited community property, thereby exogenously reducing the degree of financial insurance between spouses. We combine this reform with variation in wealth shocks such as inheritances, gifts, and premarital asset appreciation. The reform re-defined which wealth shocks are shared and which remain individual. The data we use comes from the Dutch Household Survey (DHS), which records detailed information on household finances, marital status, and labor outcomes.

The Model

A structural framework is necessary for two reasons. First, the key object of interest, marital insurance, is not directly observable. Property regimes alter asset division in the event of divorce, but their effect on job search operates through forward-looking expectations about income risk, asset accumulation, and potential divorce risk. A reduced-form comparison of outcomes before and after the reform can't separately identify whether observed changes reflect shifts in wealth, divorce risk, bargaining power, or precautionary savings. A structural model allows us to discipline these channels and isolate the insurance mechanism.

Second, job search decisions are dynamic and equilibrium objects. Reservation wages, unemployment durations, and labor market risk-taking depend on the value of remaining unemployed, the distribution of wage offers, and the continuation value of marriage. Changes in the marital contract affect all of these margins simultaneously. A structural model allows to follow the evolution of asset accumulation and run counterfactual policy analysis.

Environment

Time is continuous and infinite. The household is a unitary decision-maker consisting of two spouses $i \in \{m, f\}$ who maximize expected discounted lifetime utility

$$V_0 = E_0 \left[\int_0^\infty e^{\rho t} u(c_t) dt \right]$$

where ρ is the common subjective discount rate, $u(c_t)$ is the instantaneous utility from household consumption (with $u'(c) > 0,\ u''(c) < 0$), and c_t is the household public consumption (assuming perfect pooling within marriage).

Each spouse i can be in one of two employment states, employed ($l_i = 1$) or unemployed ($l_i = 0$). The employed earn a wage w_i and face an exogenous job destruction rate δ_i. They

participate in on-the-job search where they receive offers at rate $\gamma_i < \lambda_i$ and incur a search cost of $\kappa(s_i)$. The functional form we assume for the search cost follows from Lise (2012) and Wang (2019),

$$\kappa(s_i) = \kappa_0 \cdot s_i^{\kappa_1}, \quad \kappa_1 > 1, \quad \kappa_0 > 0$$

where s_i is the search intensity. This functional form captures the diminishing returns to search effort. The unemployed receive an unemployment benefit b_i and search for jobs with a job offer arrival (Poisson) rate λ_i, drawn from the distribution $F_i(w)$ with support $[\underline{w}_i, \overline{w}_i]$.

The household budget constraint takes the form

$$c_t + a_{t+1} = (1 + r)a_t + y_t$$

where the household income is

$$y_t = w_m \cdot \mathbf{1}\{l_m = 1\} + w_f \cdot \mathbf{1}\{l_f = 1\} + b_m \cdot \mathbf{1}\{l_m = 0\} + b_f \cdot \mathbf{1}\{l_f = 0\}.$$

Couples can save in a joint account a^J, and/or in their individual accounts a_i. Both type of accounts have the same risk-free rate of return r. The total household assets are therefore $a = a^J + a_f + a_m$. However, divorce arrives at an exogenous rate π, and the couple is subject to one of two matrimonial property regimes—universal community property or limited community property, $\theta \in \{U, L\}$. Under universal community property, it doesn't matter which account they save in, since all assets, pre-marital or otherwise, are divided equally upon divorce. In this case, we assume the couple saves in a^J. Under limited property, all assets accumulated prior to marriage remain separate property, and all those accumulated after marriage are joint; however, inheritance and gifts are considered separate property even if received during marriage, so long as they remain in an individual account and are not commingled (mixed with joint funds, used for joint expenses, or placed in a shared account). Let wealth shocks arrive at exogenous probability μ_i, where wealth z is drawn from a distribution $G_i(z)$. Universal community property was the default regime in the Netherlands until 2018, at which time the default changed to limited community property.

Value Functions

The household's state is described by $(w_m, w_f, a^J, a_m, a_f, l_m, l_f, \theta)$ where w_i are wages, a^J are the joint household assets, a_i are individual assets, l_i are employment, and θ is the marital property regime. Largely following Guler et al. (2012) and Pilossoph and Wee (2021), there are three cases to consider:

Case 1. Dual-Unemployed, $l_m = l_f = 0$

The household's state is described by (a^J, a_m, a_f, θ) where a^J are the joint household assets, a_i are individual assets, l_i are employment, and θ is the marital property regime. The value

function $U(a^J, a_m, a_f, \theta)$ satisfies

$$\begin{aligned}\rho U(\cdot) = \max_c \Bigg\{ & u(c) + \lambda_m \int_{\underline{w}}^{\overline{w}} \max\left\{W_m(w, 0, a^J, a_m, a_f, \theta) - U(\cdot), 0\right\} dF_m(w) \\ & + \lambda_f \int_{\underline{w}}^{\overline{w}} \max\left\{W_f(0, w, a^J, a_m, a_f, \theta) - U(\cdot), 0\right\} dF_f(w) \\ & + \mu_m \int \left[U(a, a_m + z, a_f, \theta) - U(\cdot)\right] dG_m(z) \\ & + \mu_f \int \left[U(a, a_m, a_f + z, \theta) - U(\cdot)\right] dG_f(z) \\ & + \pi \left[V_m^D(\cdot) + V_f^D(\cdot) - U(\cdot)\right] \Bigg\}.\end{aligned}$$

Wealth shocks arrive at rate μ_i, and divorce arrives at rate π. Reservation wages w_i^R are such that $W_i(w_i^R, 0, a^J, a_m, a_f, \theta) = U(a^J, a_m, a_f, \theta)$ and are determined in equilibrium.

Case 2. Worker-Searcher, WLOG $l_m = 1, l_f = 0$

Value function $W_m(w_m, a^J, a_m, a_f, \theta)$ satisfies

$$\begin{aligned}\rho W_m(\cdot) = \max_{c, s_m} \Bigg\{ & u(c) - \kappa(s_m) + \delta_m(U(a^J, a_m, a_f, \theta) - W_m(\cdot)) \\ & + s_m \gamma_m \int_{w_m}^{\overline{w}} \left[W_m(w, a^J, a_m, a_f, \theta) - W_m(\cdot)\right] dF_m(w) \\ & + \lambda_f \int_{\underline{w}}^{\overline{w}} \max\left\{E(w_m, w, a^J, a_m, a_f, \theta) - W_m(\cdot), W_f(w, a^J, a_m, a_f, \theta) - W_m(\cdot), 0\right\} dF_f(w) \\ & + \mu_m \int \left[W_m(w_m, a^J, a_m + z, a_f, \theta) - W_m(\cdot)\right] dG_m(z) \\ & + \mu_f \int \left[W_m(w_m, a^J, a_m, a_f + z, \theta) - W_m(\cdot)\right] dG_f(z) \\ & + \pi \left(V_m^D + V_f^D - W_m(\cdot)\right) \Bigg\}.\end{aligned}$$

The employed spouse chooses on-the-job search intensity s_m to trade off between paying the search cost $\kappa(s_m)$ and having a greater probability of receiving a job offer. Upon paying the search cost $\kappa(s_m)$, they sample job offers at rate $s_m \gamma_m$. When the employed spouse gets a job offer, they accept if the offered wage is above their current wage. When the unemployed spouse gets a job offer, they can accept such that both spouses work, they can accept and the employed spouse may quit their job (the breadwinner cycle from Guler et al. (2012)), or they can reject and remain unemployed.

From the FOC, the optimal on-the-job search intensity is given by

$$\kappa'(s_m(w_m)) = \gamma_m \int_{w_m}^{\overline{w}} \left[W_m(w, a^J, a_m, a_f, \theta) - W_m(\cdot)\right] dF_m(w)$$

Case 3. Dual-Employed, $l_m = l_f = 1$

Value function $E(w_m, w_f, a^J, a_m, a_f, \theta)$ satisfies

$$\begin{aligned}
\rho E(\cdot) = \max_{c, s_m, s_f} \Big\{ & u(c) - \kappa(s_m) - \kappa(s_f) \\
& + \delta_m \big[W_f(w_f, a^J, a_m, a_f, \theta) - E(\cdot) \big] \\
& + \delta_f \big[W_m(w_m, a^J, a_m, a_f, \theta) - E(\cdot) \big] \\
& + s_m \gamma_m \int_{w_m}^{\overline{w}} \max \big\{ E(w, w_f, a^J, a_m, a_f, \theta) - E(\cdot), W_m(w, a^J, a_m, a_f, \theta) - E(\cdot), 0 \big\} dF_m(w) \\
& + s_f \gamma_f \int_{w_f}^{\overline{w}} \max \big\{ E(w_m, w, a^J, a_m, a_f, \theta) - E(\cdot), W_f(w, a^J, a_m, a_f, \theta) - E(\cdot), 0 \big\} dF_f(w) \\
& + \mu_m \int \big[E(w_m, w_f a^J, a_m + z, a_j, \theta) - E(\cdot) \big] dG_m(z) \\
& + \mu_f \int \big[E(w_m, w_f a^J, a_m, a_j + z, \theta) - E(\cdot) \big] dG_f(z) \\
& + \pi \big[V_m^D(\cdot) + V_f^D(\cdot) - E(\cdot) \big] \Big\}
\end{aligned}$$

Divorce Value Functions

Upon divorce with regime θ, each spouse becomes single and receives assets a_i^D. Under universal community property $\theta = U$,

$$a_i^D = \frac{1}{2}(1 - \tau_U)(a^J + a_m + a_f),$$

and under limited community property $\theta = L$,

$$a_i^D = \frac{1}{2} a^J + a_i.$$

τ_θ is the dissolution cost, or the fraction of assets destroyed in the divorce, and $\tau_U > \tau_L = 0$.

Singles' Problem The single-person value function for unemployment is given by $U_i(a)$,

$$\rho U_i^{\sin}(\cdot) = \max_{c_i} \left\{ u(c_i) + \gamma_i \int_{\underline{w}}^{\overline{w}} \max\{E_i^{\sin}(w, a) - U_i(\cdot), 0\} dF_i(w) \right\}$$

and for employment is given by $E_i(w, a)$,

$$\begin{aligned}
\rho E_i^{\sin}(\cdot) = u(c_i) - \kappa(s_i) + \delta_i (U_i^{\sin}(a) - E_i^{\sin}(\cdot)) \\
+ s_i \gamma_i \int_w^{\overline{w}} \big(E_i^{\sin}(w', a) - E_i^{\sin}(\cdot) \big) dF_i(w').
\end{aligned}$$

The singles' reservation wage $w_i^{R_{\sin}}$ is such that $U_i^{\sin}(a) = E_i^{\sin}(w_i^{R_{\sin}}, a)$. The optimal search effort $s^*(w, a)$ is implicitly defined by

$$\kappa'(s_i^*(w, a)) = \gamma_i \int_w^{\overline{w}} \big(E_i^{\sin}(w', a) - E_i^{\sin}(w, a) \big) dF_i(w').$$

Data

The DNB Household Survey (DHS) is a Dutch panel data set that studies the determinants of saving behavior of households, surveying more than 2,000 households each year. This dataset started in 1993, and collects information on work, pensions, housing, mortgages, income, loans, health, economic and personal characteristics. For this project, this data has two critical advantages. First, it records granular job search behaviors of households, including self-reported reservation wages, unemployment duration, job-offer acceptance and rejection, job satisfaction, and transitions into self-employment. These measures allow us to directly examine the labor market behaviors affected by marital insurance. Second, the DHS contains detailed wealth data, including assets, liabilities, and account ownership. Importantly, savings and checking accounts specify whether they are held individually or jointly, enabling us to proxy the degree of financial pooling within households. The survey also includes information on marital status, number of children, homeownership, mortgage structure, and whether the couple is married under the default property regime or an alternative marital agreement. Some preliminary descriptive patterns from the data show that marriages under the default regime are most common, where only a small percentage of couples in our sample decide to sign a marriage settlement. This is consistent with national statistics, and helps our identification argument that marriages didn't sort into different contracts based on the reform.

We plan to link the DHS to CBS microdata to increase statistical power of our analysis. Our identification strategy requires restricting the sample to households in which both spouses participate in the labor force and further classifying couples into dual-employed, worker-searcher, and dual-unemployed states. These restrictions substantially reduce the sample size, so the CBS data will allow us to overcome this sample issue. In addition, CBS microdata provide regional housing price indices, sector-level unemployment rates, and other local economic indicators. These variables enable us to incorporate external sources of variation in wealth shocks and labor market risk, strengthening identification of the model.

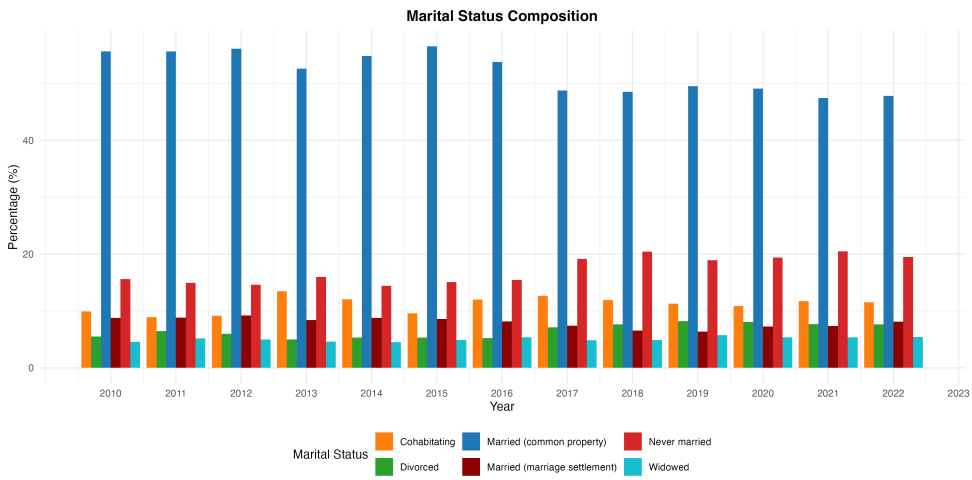

Figure 1: This is the marital status composition. We can see that the default is the most common option in marriages.

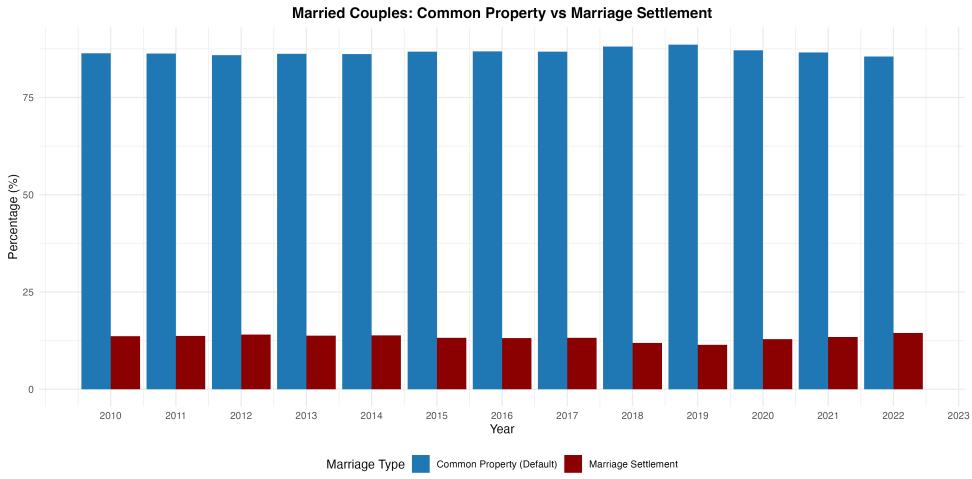

Figure 2: Distribution of marriage types among married couples

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